

Assignment 2

Answer the following questions. Type your answers in a Microsoft Word file and upload the Microsoft Word file (or PDF file) in D2L. **(due date: Friday, October 13, 11:00 am)**. Include a standard cover page.

a. VersionOne, an enterprise software development company with products to support agile project teams, has conducted an annual survey for the last 10 years to better understand usage and trends of APM in software development. For its tenth annual State of Agile survey, data was collected between July and November 2015 and included 3880 completed surveys. Because of the diversity of respondents including industries represented, size of the organizations, and experience with agile, the survey provides many useful insights into the state of APM. For example, 44 percent of the respondents worked at organizations with less than 1000 people, while 25 percent of the respondents worked at organizations with more than 20,000 employees. Respondents also represented a variety of industries including software (26 percent of respondents), financial services (14 percent), and professional services (11 percent).

A number of other industries were also represented including healthcare, government, insurance, telecom, retail, manufacturing, media, Internet services, transportation, consumer products, and utilities. Likewise, the respondents represented a diverse group in terms of their experience with APM with 19 percent indicating they had less than a year of experience, while 25 percent had more than 5 years of experience. Finally, it is worth pointing out that the percent of respondents coming from outside North America has been steadily increasing. In the tenth annual survey, 56 percent of the respondents were from North America, while 26 percent were from Europe and 11 percent were from Asia.

A key insight from the survey relates to why organizations are adopting APM. For the last 3 years, the top two reasons for adopting APM were to accelerate product delivery (62 percent of respondents) and to enhance the ability to manage changing priorities (56 percent). The respondents also cited numerous additional reasons for adopting APM including to increase productivity (55 percent), enhance software quality (47 percent), and enhance delivery predictability (44 percent).

Furthermore, the results of the survey suggest that APM is helping organizations achieve these goals. The top three benefits respondents cited stemming from their APM initiatives have been constant over the last five surveys: ability to manage changing priorities (87 percent), increased team productivity (85 percent), and improved product visibility (84 percent). Other key benefits cited by the respondents included increased team morale, better delivery predictability, faster time to market, enhanced software quality, and reduced project risk.

Related to the reasons why organizations adopt APM and the benefits of deploying it, the survey also provides insights into how success with APM is accessed. According to the survey, for the last several years, the top three ways organizations accessed the success of their APM initiatives were on-time delivery (58 percent), product quality (48 percent), and customer satisfaction (46 percent).

Of course, APM is not a panacea for all that is deficient in traditional project management approaches and there are ample examples of agile projects that have failed (although in the survey only 1 percent of respondents stated that overall their organization's APM implementation was not successful). Some of the leading reasons cited by survey respondents for agile project failures included company culture not aligned with agile values (46 percent), lack of experience with APM (41 percent), and lack of management support (38 percent). In addition to providing insight into the leading causes of agile project failures, the respondents provided insights into the key barriers for expanding APM adoption. The key barriers cited by the respondents included organizational culture (55 percent), general resistance to change (42 percent), and the existence of more rigid project management frameworks (40 percent). To help ensure APM initiatives are successful, the respondents suggest the following:

- Implement consistent processes and practices (43 percent)
- Utilize a common tool across teams (40 percent)
- Utilize the services of agile consultants and trainers (40 percent)
- Obtain executive sponsorship (37 percent)

Finally, while specific agile tools and methodologies are beyond our scope, it is interesting to observe which agile techniques were most commonly employed by the survey respondents. The top three agile techniques the respondents reported using included daily stand-up meetings (83 percent), prioritized backlogs (82 percent), and short iterations (79 percent). The most common tools used to support agile projects included taskboards (82 percent), bug tracker (80 percent), and spreadsheets (74 percent).

Questions

Your answers should be between 3 to 6 lines (font size: 12). Your submission will be graded on the proper grammar and language, thoroughness, and quality of the answers.

1. What do the results of the survey suggest about the applicability of APM beyond software development? (20 points)
2. What is your reaction to the tips offered to help ensure APM initiatives are successful? (20 points)

b. When the Belgian bank Fortis joined with the Royal Bank of Scotland and the Spanish Banco Santander to acquire the Dutch bank ABN Amro, the integration project involved over 6000 people and was expected to take 3 to 4 years to complete. The objective was to evaluate what each side brought to the table and select the best technologies through extensive communication and brainstorming. The first 9 months were spent evaluating every system and project that would be affected by the merger, resulting in a portfolio of 1000 projects that needed to be accomplished. A third of the projects were IT system choices, which were to be based on multiple criteria such as functionality, cost, maintainability, etc. The plan was to make the choices based on facts instead of emotions, relying on ABN Amro's data and including them in the decision making.

The biggest set of system projects involved mapping and integrating the IT systems. But ABN Amro had thousands of applications and resisted sharing their information, which led to constant conflicts, delays, and artificial obstacles. The result was that Fortis spent thousands of hours to complete even the simplest projects. The years-long project duration also hindered progress since the longer a project takes, the more conflicts, especially cultural (that can't be solved simply with additional resources), will arise. Eventually, the problems and delays depleted Fortis' capital, and, exacerbated by the global credit crisis, they went bankrupt.

Fortis was then sold to the French bank BNP Paribas. In contrast to Fortis' approach, BNP set up an 18-month project to phase out all of Fortis' systems and move Fortis' accounts and data into their own system. They integrated the Fortis team into their own organizational structure and put their own people into the key roles—there was no discussion, just work to do. It was a top-down approach that was easier, faster, and more efficient, though it didn't sit well with the Fortis employees. After the integration was complete, BNP refocused on rebuilding any lost morale. For example, most of the Fortis people kept their jobs, and BNP opened four global centers in Brussels (called BNP Paribas Fortis) to show their interest in strengthening the bank's national and global presence.

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3. Do long project durations in other industries also lead to conflicts and project problems? (20 points)
4. Was the difficulty in this situation due to the upset ABN Amro employees, or were there more serious project planning problems? (20 points)
5. Do you agree with the “solution” exemplified by BNP? Might there be some compromise plan? (20 points)